

India-Russia Critical Minerals Deal Offers Supply-Chain Optionality, Not Near-Term Relief

Sakshi Asrani

3 June, 2026

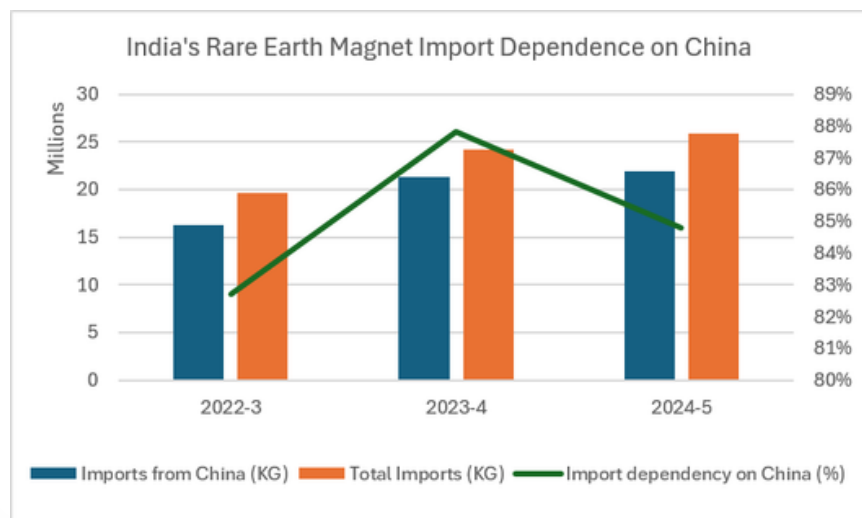
India and Russia are finalising a critical minerals agreement covering joint exploration, processing cooperation, technological collaboration, Indian corporate investment in Russian mineral assets, and logistics via the Chennai-Vladivostok Maritime Corridor and Northern Sea Route. The deal could help Indian sectors exposed to Chinese export controls, such as defence, renewables, EVs, and electronics. In the near-term, its commercial impact is likely to remain limited by sanctions risk, Russia's low current production share, and extended timelines for operational execution.

Immediate Political and Market reaction

- India's Ministry of Mines and Russia's Ministry of Industry and Trade are leading discussions, although neither side has commented publicly. The proposed agreement fits India's [National Critical Minerals Mission](#), which aims to reduce dependence on Chinese-dominated supply chains.
- Andrey Podchufavrov, head of the Trade Representation of Russia in India, framed the deal as a response to rising global demand for critical minerals and unevenly distributed supply.
- The lack of a significant market reaction likely reflects the agreement's early stage and Russia's small share of global production, [roughly 1%](#), limiting the deal's near-term impact on supply. Sanctions exposure also reduces corporate appetite for Russian-linked mineral assets.

Commercial Implications

- India imports [80-90% of rare earth magnets from China](#), while its demand is predicted to [double by 2030](#). EV, wind energy, defence, nuclear, satellite, electronics and medical equipment firms are therefore exposed to export controls and licensing delays in Chinese-controlled supply chains. For example, Beijing's export restrictions in June 2025 reportedly caused [Maruti Suzuki](#) to reduce its near-term e-Vitara production by two-thirds. A Russia partnership could reduce single-source dependence by diversifying supply.
- However, the partnership will not rebalance India's supply chains immediately. Although US Geological Survey data estimates [Russian reserves](#) at 3.8 million metric tons, the fifth largest globally, Russia's current share of global production is small. An increase in output would depend on sanctions-compliant participation from Indian firms, logistics development, and successful joint research and development. India's broader critical minerals diplomacy underlines implementation risk: it has signed multiple partnerships, but only the Argentina lithium project has moved into [operational exploration](#).



Source: [Press Information Bureau](#)